

Simple diagnostic for regret aversion bias: On a scale of 1 to 5, with 5 being full agreement, how much do you agree with the following:

Poor past financial decisions have caused me to change my current investing behavior.

Answering 3 to 5 shows a tendency toward regret aversion bias.

Advice for Followers

Advisors to Followers first and foremost need to recognize that Followers often overestimate their risk tolerance. Risky trend-following behavior occurs in part because Followers don't like situations of ambiguity that may accompany the decision to enter an asset class when it is out of favor. They also may convince themselves that they "knew it all along" when an investment idea goes their way, which also increases future risk-taking behavior. Advisors need to handle Followers with care because they are likely to "say yes" to investment ideas that make sense to them, regardless of whether the advice is in their best long-term interest. Advisors need to encourage Followers to take a hard look at behavioral tendencies that may cause them to overestimate their risk tolerance. Because Follower biases are mainly cognitive, education on the benefits of portfolio diversification and sticking to a long-term plan is usually the best course of action. Advisors should challenge Follower clients to be introspective and provide data-backed substantiation for recommendations. Offering education in clear, unambiguous ways so they have the chance to "get it" is a good idea. If advisors take the time, this steady, educational approach will generate client loyalty and adherence to long-term investment plans.

INDEPENDENT

Basic type: Active

Risk tolerance: Medium to high

Primary bias: Cognitive

With Independents, we are entering the realm of the active investor. As we reviewed in earlier articles, these investors have been actively involved in their wealth creation, typically risking their own capital in achieving their wealth objectives. Active investors have a higher tolerance for risk than they have need for security. Their tolerance for risk is high because they believe in themselves. Related to their high risk tolerance is the fact that active investors prefer to maintain at least some amount of control of their